# VNS THEORY

VNS THEORY, as I mentioned earlier, is its manual. Here we write the rate of the scripts, high, low, open, and close. The rates must be written in a notebook, which you can buy or a notepad. The heading of the page is the script's name, say, Sensex, Nifty, or any scripts, commodities, or forex. The first column is the date, and the second column is the High of the day, below which you have to write the Low of the day. The third column is the Opening of the day, and below which is the Closing of the day. I will show you how to write.

The following is the most important formula that you have to bear in mind. The first one is Mark High of the previous days when the low of the previous days was broken. The second one is Mark Low of the days when the high is taken out.

So, the first principle will be the fourth column below, where you can write the date. The second principle will be written in column five below, where you can write the date. Now, I will be showing you examples and explaining how to mark and study. I have written the rates of the Nifty, Sensex, Dow, and Nasdaq

as illustrations for you to understand. Just see how I have written. In the first column, I have written the date, the second column shows high and low above each other, the third column, open and close above each other, the fourth column shows where the low is broken, high is marked, and the fifth column shows the low where high is taken out. Low is marked. You have to write as follows:

| Col.1 | Col.2 | Col.3 | Col.4 | Col.5 |
|---|---|---|---|---|
| Date | High<br>Low | Open<br>Close | BU<br>Date | BE<br>Date |

Now let's study through our illustrations how the markings have been done and how to read them or implement them. Please note that the blank dates are either holidays or Saturdays and Sundays.

After every week, the highs and lows are mentioned, which are compared to the highs and lows of the previous week, and if the high is higher is marked as BU or bullish trend, or T teji, and the low is lower is marked as BE bearish trend or M Mandi. Sometimes it may be within the same range, so it can be called DT double top or DB double bottom, or A Atak in Hindi.

# ILLUSTRATION 1.
# NIFTY

| | | | | | |
|---|---|---|---|---|---|
| **Nov.** | **24316.75** | **24315.75** | | | |
| **04** | **23816.15** | **23995.35** | | | |
| **05** | **24229.05** | **23916.50** | | | |
| | **23842.75** | **24213.30** | | | |
| | | | **BU** | | |
| **06** | **24537.60** | **24308.75** | **24537.60** | | |
| | **24204.05** | **24484.05** | **6/11** | | |
| **07** | **24503.35** | **24489.60** | | | |
| | **24179.05** | **24199.35** | | | |
| **08** | **24276.15** | **24207.70** | | **BE (T)** | |
| | **24066.65** | **24148.20** | | **BU (M)** | |
| **09** | | | | **H 24537.60** | |
| **10** | | | | **L 23816.15** | |
| | | | | **R** | |
| **11** | **24336.80** | **24087.25** | | **24004.60** | |
| | **24004.60** | **24141.30** | **DT** | **11/11** | |
| | | | **24336.80** | | |
| **12** | **24242** | **24225.80** | **11/11** | | |
| | **23839.15** | **23883.45** | | | |
| **13** | **23873.60** | **23822.45** | | | |
| | **23509.60** | **23559.05** | | | |

| | | | | |
|---|---|---|---|---|
| **14** | **23675.90** | **23542.15** | | |
| | **23484.15** | **23532.70** | | |
| | | | | **BE (M)** |
| **15** | | | | **H 24336.80** |
| **16** | | | | **L 23484.15** |
| **17** | | | | **BE (M)** |
| **18** | **23606.80** | **23605.30** | | **23350.40** |
| | **23350.40** | **23453.80** | | **18/11** |
| | | | **R** | |
| **19** | **23780.65** | **23529.55** | **23780.65** | |
| | **23464.80** | **23518.50** | **19/11** | |
| **20** | | | | **BE (M)** |
| **21** | **23507.30** | **23488.45** | | **23263.15** |
| | **23263.15** | **23349.80** | | **21/11** |
| **22** | **23956.10** | **23411.80** | | |
| | **23359** | **23907.25** | | **BE (M)** |
| **23** | | | | **H 23956.10** |
| **24** | | | | **L 23263.15** |
| | | | **BU (T)** | |
| **25** | **234351.55** | **24253.55** | **24351.55** | |
| | **24135.45** | **24221.90** | **25/11** | |
| | | | | **R** |
| **26** | **24343.30** | **24343.30** | | **24125.40** |
| | **24125.40** | **24194.50** | | **26/11** |
| | | | **BU (T)** | |
| **27** | **24354.55** | **24204.80** | **24354.55** | |
| | **24145.65** | **24274.90** | **27/11** | |

| | | | | |
|---|---|---|---|---|
| | | | | R |
| 28 | 24345.75 | 24274.15 | | 23873.35 |
| | 23873.35 | 23914.15 | | 28/11 |
| 29 | 24188.45 | 23927.15 | | |
| | 23927.15 | 24131.10 | | |
| | | | | BU (T) |
| 30 | | | | 24354.55 |
| 01 | | | | 23873.35 |
| 02 | 24301.70 | 24140.85 | | |
| | 24008.65 | 24276.05 | | |
| 03 | 24301.70 | 24140.85 | | |
| | 24280 | 24557.15 | | |
| | | | BU (T) | |
| 04 | 24573.20 | 24488.75 | 24573.20 | |
| | 24366.30 | 24467.45 | 04/12 | |
| 05 | 24857.75 | 24539.15 | | |
| | 24295.55 | 24708.40 | | |
| 06 | 24751.05 | 24729.45 | | |
| | 24620.50 | 24677.80 | | BU (T) |
| 07 | | | | 24857.75 |
| 08 | | | | 24008.65 |
| 09 | 24705 | 24633.90 | | |
| | 24580.05 | 24619 | | |
| | | | | R |

| | | | | |
|---|---|---|---|---|
| **10** | **24677.80** | **24652.65** | | **24510.65** |
| | **24510.65** | **24610.05** | | **10/12** |
| | | | **DT (A)** | |
| **11** | **24691.75** | **24620.50** | **24691.75** | |
| | **24583.85** | **24630.30** | **11/12** | |

Have a look at Illustration 1. Let's start with 6th November, where the high of 24537.60 is marked, since the low was broken on 7th November. On the 12th, the high of the 11th was taken out, so the low of the 11th was marked as Reaction. It is a fall from 24537.60. On 13th, the low of 12th was taken out, the high of 11th was marked, i.e., 24336.80, since it is higher than previous days of the 12th and 13th, which is lower than 24537.60, hence the market is seen as a DT

double top or A atak. This shows exhaustion of the uptrend, and the chances of going down are higher. Have a look, we went straight down to 23350.40 on 18th since the high of 18th was taken out on 19th, hence the recent low of 23350.40 was marked as BE(M). Again on the 21st, the low of the 19th was broken, so a high was marked, which is 23780.65. It is R reaction from the lows of 23350.40. On the 22nd high of 21st was taken out, so the low of 21st, which is 23236.15, which is lower than 23350.40, is marked as BE or M. The market from here bounced and, without giving a double bottom, went above 23780.65, which is the reaction point, hence a change in trend. So on 26th, the low of 25th was

broken, so the high of 25th was marked, i.e., 24351.55, which is marked as BU bullish trend or T teji. On the 27th high of 26th was taken out, so the low of 26th was marked, which is 24125.40 as a reaction. On the 28th low of 27th was broken, so the high of 24354.55, which is just 3 points higher than 24351.55, is marked as BU or T, but to understand it is as good as a double top. So markets fell from here till the high was taken out on the 29th, so the low of the 28th, which is 23873.35, was marked as BE or M since it is lower than the reaction point of 24125.40. Again, the market bounces, and this time it crosses 24354.55. This we call as breakout point. Breakout is first BU then BE, and crossing of BU.

On the reverse side, it is first BE then BU then BE. In Hindi, TMT or MTM. In this scenario, the crossing of 24354.55 is a breakout point since it is BU, BE, then BU. On 5th December, the low of the 4th December was broken, so the high of 4th, which is 24573.20, is marked as BU or T since it is higher than 24354.55. On the 5th high of 4th was taken out, so the low of 5th i,e, 24295.55, was marked as reaction R..Again, on the 9th, the low of 6th was broken, so the high of 5th, which is the recent high was marked as BU or T i.e. 24857.75. On the 11th high of 10th was taken out so low of the 10th was marked which is 24510.65 as R since it is higher than 24295.55. On 12th (not written) is marked as

DT or A. From here again, the downtrend started. Now, let us examine where the opportunities were to make money. The first opportunity came on 12th November when a double top of 24336.80 was marked and Nifty fell to 23236.15. The second opportunity came at the breakout level of 24354.55. From here, Nifty went up to 24857.75. I understand no one can catch the top or the bottom, but sure to make money. One point I would like to emphasise here is that I was taught by my father to enter only at the time of breakouts and not to trade otherwise, but in today's scenario, I feel very scared to enter at the extremely high or low. I am comfortable taking a trade when double tops or bottoms are made. The

first reason is that it indicates a change in trend Secondly, the stoploss is very close by. Once you start writing, you will get the hang of it, when to enter, when to exit.

# ILLUSTRATION 2.
# SENSEX

| Nov. | | | | | |
|---|---|---|---|---|---|
| | | | | BE (M) | |
| 04 | 79713 | 79717 | | 78233 | |
| | 78233 | 78782 | | 04/11 | |
| 05 | 79523 | 78542 | | | |
| | 78297 | 79477 | | | |
| | | | BU(T) | | |
| 06 | 80570 | 79772 | 80570 | | |
| | 79459 | 80378 | 06/11 | | |
| 07 | 80563 | 80563 | | | |
| | 79419 | 79542 | | | |
| 08 | 79807 | 79612 | | | BE(M) |
| | 79117 | 79486 | | | BU(T) |
| 09 | | | | | H 80570 |
| 10 | | | | | L 78233 |
| | | | | R | |
| 11 | 80102 | 79298 | DT(A) | 79001 | |
| | 79001 | 79496 | 80102 | 11/11 | |
| | | | 11/11 | | |
| 12 | 79821 | 79645 | | | |
| | 78548 | 78675 | | | |
| 13 | 78690 | 78496 | | | |
| | 77533 | 77691 | | | |
| 14 | 78056 | 77637 | | | |
| | 77425 | 77580 | | | |
| 15 | | | | | BE(M) |

| | | | | | |
|---|---|---|---|---|---|
| 16 | | | | | H 80102 |
| 17 | | | | | L 77425 |
| | | | | BE(M) | |
| 18 | 77887 | 77864 | | 76965 | |
| | 76965 | 77339 | | 18/11 | |
| | | | R | | |
| 19 | 78452 | 77548 | 78452 | | |
| | 77411 | 77578 | 19/11 | | |
| 20 | | | | BE(M) | |
| 21 | 78452 | 77711 | | 76803 | |
| | 76803 | 77156 | | 21/11 | |
| 22 | 79218 | 77350 | | | |
| | 77227 | 79117 | | | BE(M) |
| 23 | | | | | H 79218 |
| 24 | | | | | L 76803 |
| 25 | 80473 | 80193 | | | |
| | 79766 | 80110 | | | |
| 26 | 80482 | 80415 | | | |
| | 79799 | 80004 | | | |
| | | | BU(T) | | |
| 27 | 80511 | 80121 | 80511 | | |
| | 79844 | 80234 | 27/11 | | |
| | | | | R | |
| 28 | 80447 | 80282 | | 78919 | |
| | 78919 | 79044 | | 28/11 | |
| 29 | 79924 | 79033 | | | |
| | 79026 | 79803 | | | BU(T) |
| 30 | | | | | H 80511 |

| | | | | | | |
|---|---|---|---|---|---|---|
| 01 | | | | | L | 78919 |
| 02 | 80338 | 79744 | | | | |
| | 79309 | 80248 | | | | |
| 03 | 80949 | 80529 | | | | |
| | 80245 | 80846 | | | | |
| | | | BU(T) | | | |
| 04 | 81245 | 81036 | 81245 | | | |
| | 80631 | 80956 | 04/12 | | | |
| | | | | R | | |
| 05 | 82318 | 81183 | | 80467 | | |
| | 80467 | 81766 | BU(T) | 05/12 | | |
| | | | 82318 | | | |
| 06 | 81926 | 81183 | 05/12 | | | |
| | 81506 | 81709 | | | | |
| | | | | | | BU(T) |
| 07 | | | | | H | 82318 |
| 08 | | | | | L | 79309 |
| 09 | 81783 | 81603 | | | | |
| | 81412 | 81508 | | | | |
| | | | | R | | |
| 10 | 81726 | 81576 | | 81183 | | |
| | 81183 | 81510 | | 10/12 | | |
| | | | DT(A) | | | |
| 11 | 81742 | 81568 | 81742 | | | |
| | 81383 | 81498 | 11/12 | | | |

Now have a look at Illustration 2, the date is 7th November, the low of the previous day is broken, so the high of 80570 is marked as T (Teji). In English, we call to BU, i.e. a bullish trend. So, when the high is marked, we have to wait for the high to be taken out so that the low of recent days can be marked. On 11th November high of 8th November was taken out, so the low of the previous days, i.e., 11th November, i.e., 79001, was marked as reaction R. Again, the low of the 11th was broken on 12th, so the high of previous days was marked, i.e., 80102, and I have marked it as A (Atak) in English double top. You can write DT. What does this indicate? It says I am tired, can't go up, or

even can be termed as the beginning of a trend change. One can go short with a stoploss of 80102 or as per your risk management. The moment it broke 79001, meaning a change of trend to M (Mandi) bearish trend, you can write it BE So, we fell till 19th, where the high of 18th was taken out, so we marked 76965 as M or BE since it is below 79001. Again, on the 21st  low of the 19th was taken out, so we marked the high of the previous days, i.e., 78452, as R reaction to the fall to 76965. On 22nd high of 21st was taken out, so we marked the 76803 low of previous days as M or BE. Sensex went up and

crossed 78452, the reaction point, meaning we have entered a bullish phase. On the 28th, the low of 27th November 79844 was taken out, and we marked 80511 as T or BU. On 2nd December, the high of 29th was taken out, so the low of 28th, 78919, was marked as R reaction. On the 5th of December, the low of the 4th was broken, so we marked 81245 as T or BU since it is above 80511. On the 9th, the low of the 6th was broken, so 82318 was marked as T or BU. On the 11th, the high of the 10th was taken out, so the low of the 10th was marked 81183 as a reaction from 82318. So this is how

charts keep on showing what is happening in the market. Whether we are in an uptrend or a downtrend. Here we got an opportunity to buy at the crossing of 78452, where the Sensex's trend changed to Bullish. Here I would like to emphasise that after every BU(T) normally R will come, or vieceversa after every BE(M), R will come. The second option is that DT(A) or DB(A) will come. The third option is that the price goes straight to BE(M) from BU(T) or BE(M) to BU(T), see illustration 3.

# ILLUSTRATION 3
# DOW JONES

**2025**
**MARCH**

| | | | | | |
|---|---|---|---|---|---|
| | | | **BU(T)** | | |
| **03** | **44031** | **43900** | **44034** | | |
| | **42919** | **43191** | **03/03** | | |
| | | | | **BE(M)** | |
| **04** | **43084** | **43040** | | **42348** | |
| | **42348** | **42521** | | **04/03** | |
| | | | **R** | | |
| **05** | **43136** | **42518** | **43136** | | |
| | **42419** | **43007** | **05/03** | | |
| **06** | **42970** | **42848** | | | |
| | **42382** | **42579** | | | |
| **07** | **42899** | **42503** | | | |
| | **42176** | **42802** | | | **BE(M)** |
| **08** | | | | | **H 44034** |
| **09** | | | | | **L 42176** |
| **10** | **42541** | **42508** | | | |
| | **41613** | **41912** | | | |
| **11** | **41868** | **41838** | | | |
| | **41613** | **41912** | | | |
| **12** | **41868** | **41838** | | | |
| | **41175** | **41433** | | | |
| | | | | **BE(M)** | |
| **13** | **41360** | **41280** | | **40662** | |
| | **40662** | **40814** | | **13/03** | |

**14 41528 41058**
**40930 41486**

In this illustration, we are studying Dow Jones from March 3rd, 2025, where it made a top of 44034 since the low of March 3rd was broken on March 4th. The high of 3rd, 44034, was marked as BU(T) since I knew about previous highs. On the 5th, the high of the 4th was taken out, so the low of the 4th was marked, i.e., 42348 as BE(M) since I knew the previous lows. Again, on 6th, the low of 5th was broken on 6th, the high of 5th, i.e., 43136, was marked as R, since after BE(M) comes correction, ie. R. From here market kept on falling till 14th April when the high of 13th was taken out

and we marked 40662 as BE(M). Now we will go to our last Illustration, 4 of Nasdaq. Before going to Nasdaq, let me explain to you one thing: when the high is taken out low is marked. Then you have to look where the low is broken so the high can be marked. So, we keep on moving from column 4 to 5 or 5 to 4 and mark BU(T) or BE(M), looking at the previous high and low of columns 4 and 5.

# ILLUSTRATION 4
# NASDAQ

**2025**
**MARCH**

| | | | | |
|---|---|---|---|---|
| | | | **R** | |
| **03** | **18992.30** | **18923.36** | ***18992.30*** | |
| | **18216.63** | **18350.19** | **03/03** | |
| | | | | **M** |
| **04** | **18589.49** | **18176.43** | | **17956.60** |
| | **17956.60** | **18285.16** | | **05/03** |
| | | | **R** | |
| **05** | **18604.47** | **18312.97** | **18604.47** | |
| | **18144.73** | **18552.73** | **05/03** | |
| **06** | **17439.44** | **18204.53** | | |
| | **17980.39** | **18069.26** | | |
| **07** | **18246.58** | **18029.85** | | |
| | **17768.59** | **18196.22** | | **BE(M)** |
| **08** | | | | **H 18992.30** |
| **09** | | | | **L 17768.59** |
| **10** | **17868.08** | **17840.32** | | |
| | **17291.82** | **17468.32** | | |
| | | | | **BU(M)** |
| **11** | **17687.40** | **17443.09** | | **17238.24** |
| | **17238.24** | **17436.10** | | **11/03** |
| | | | **R** | |
| **12** | **17800.10** | **17711.41** | **17800.10** | |
| | **17436.27** | **17648.45** | **12/3** | |
| | | | | **DB(A)** |

| | | | | | |
|---|---|---|---|---|---|
| **13** | **17621.91** | **17598.56** | | **17239.44** | |
| | **17239.44** | **17303.01** | | **13/03** | |
| **14** | **17773.48** | **17523.30** | | | |
| | **17491.08** | **17754.09** | | | |
| | | | | | **BU(M)** |
| **15** | | | | **H** | **17868.08** |
| **16** | | | | **L** | **17238.24** |
| | | | **BU(T)** | | |
| **17** | **17925.94** | **17722.04** | **17925.94** | | |
| | **17645.89** | **17808.66** | **17/03** | | |
| **18** | **17682.92** | **17662.57** | | | |
| | **17431.67** | **17504.12** | | | |

On the 4th of March, the low of the 3rd was broken, hence the high of the 3rd, 18992.30, was marked as R since I knew about the previous lows. On the 5th, the high of the 4th was taken out. So the low of the 4th, 17956.60, was marked as BE(M) since it was lower than the previous low (not seen here). On the 6th, the low of the 5th was taken out,

so the high of the 5th, which is 18604.47, was marked as R since it is lower than 18992.30, the earlier R. Nasdaq kept on falling till the 11th, when on on 12th the high of the 11th was taken out. So the low of 11th 17238.24 was marked as BE(M) since it is lower than 17956.60. On the 13th, the low of 12th was taken out, so the high of 12th, 17800.10, was marked as R. Since it was lower than 18604.47. On the 14th, the high of the 13th was taken out, so the low of the 13th, 17239.44, was marked as DB(A) since it is higher than the previous low of 17238.24, maybe by one point. This is crucial to understand. Double bottom or double top mostly indicates early in coming the change of

trend. Here, I would take a bullish position with a stop loss of 17238.44. On 18th, the low of 17th was broken, so the high of 17th 17925.94 was marked as BU(T) since it is higher than 17800.10 marked earlier as R.

So, you have learnt how to mark BU(T), BE(M), R, DT(A), and DB(A). Now the question arises, how to trade? Or when to trade? I was taught only to trade during a breakout or breakdown. How to analyse them. When the marking goes like BU(T) then BE(M), and after that the point of BU(T) is crossed, at that crossing one should buy. Don’t worry, I will explain to you with an

example. Say price is 100 marked as BU(T) and it reacts to 95, which is R ang goes up to 98 i.e. DT(A) goes below 95 to 90 is BE(M) moves up to 94 goes down to 92 makes DB(A) and starts moving up and crosses 100. So 100 is your breakout point, and 90 is your breakdown point. In this case, your stoploss is 90, which is quite far from 100 when you see a reality in the market.. What I do is enter the script when a double top or bottom is formed. In this example for buying, I would enter at 92 with a stop loss of 90, since the double bottom is formed, instead of entering above 100, since my stop loss is Rs 2/-. I would go short at 98 since a double top is formed with a stoploss is 100. In normal

circumstances, the moment a double bottom or double top is formed, the trend changes. The risk factor is if the script moves in the range and does not move either way, forming DT(A) or DB(A), moving sideways. In this example, moving between 90 and 100. With the practice of writing every day, you will learn on your own when to enter and when not to. Now the question arises, how many scripts to write? It depends on your interest and time. It takes one minute to write one script. I write about 40 scripts, so I have so many chances to trade. So, you take a call. Second question, should I take delivery or trade into F&O. Again, your call. I do not advise at least options trading because there is

always the factor of time decay. The best is the cash basis, and if you are a risk taker, you can trade in Futures with a stop loss in place.